

Spot-Vol Correlation Across Asset Classes

Trump Administrations vs. Other Periods — Iran War Context

Data: 2004-01-01-2026-05-06 | 63-day rolling window

Trump Term 1

Jan 2017 – Jan 2021

Trump Term 2

Jan 2025 – present

Spot-vol correlation quantifies how asset prices and volatility co-move. For equities the relationship is robustly negative: sell-offs spike the VIX while rallies compress it (leverage effect + vol-feedback loop). Fixed income shows the same sign: bond prices fall as rates move, and rate vol (MOVE) peaks during rapid rate moves. FX correlations are weaker and more regime-sensitive.

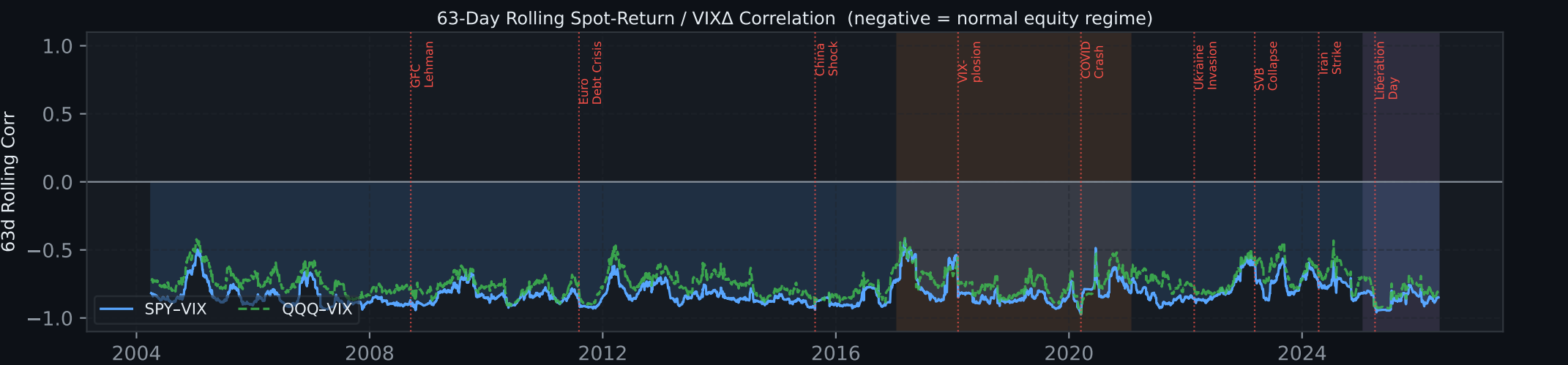
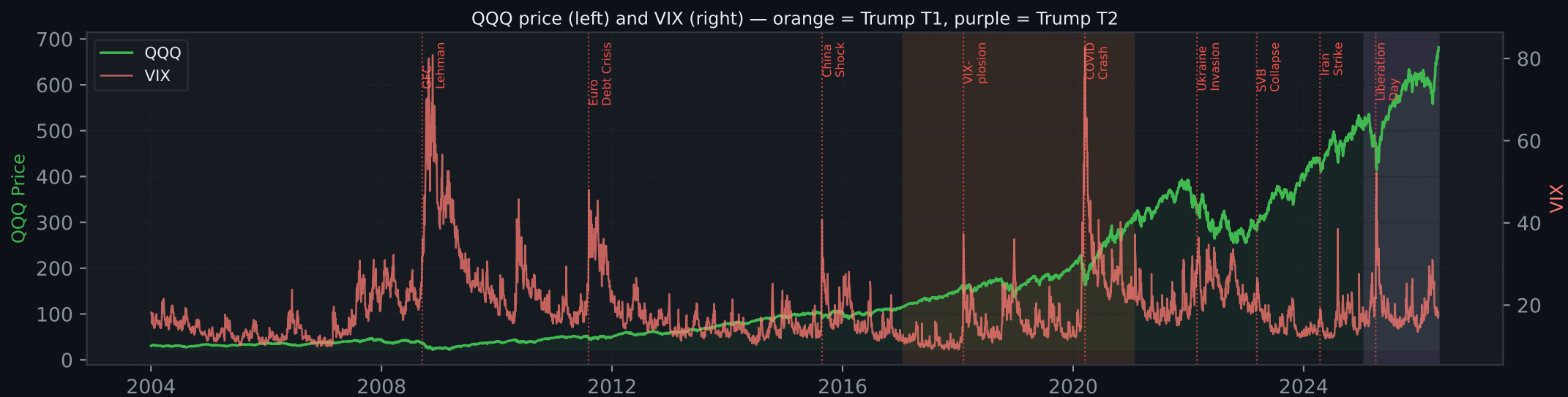
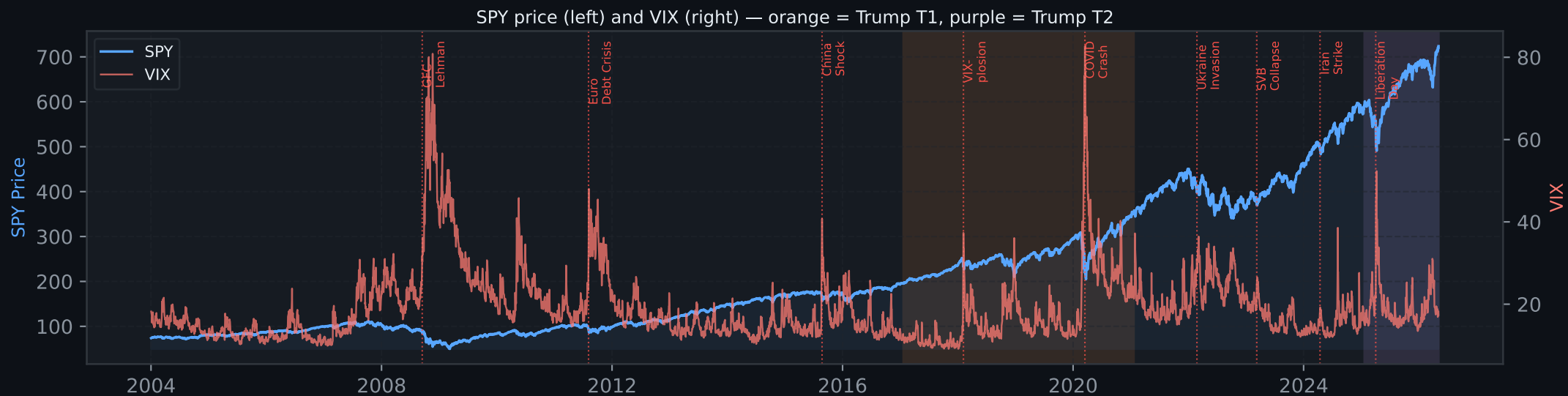
Geopolitical shocks such as the ongoing Iran conflict challenge this baseline by elevating vol independently of spot direction. This report tracks the 63-day rolling spot-vol correlation for SPY, QQQ, TLT, EUR/USD, and GBP/USD from 2004 to present, disaggregated by Trump vs. non-Trump administrations, with major market events annotated throughout.

SPY	QQQ	TLT	EUR/USD	GBP/USD	WTI Oil	Nat Gas
S&P 500 ETF	Nasdaq 100 ETF	20Y Treasury ETF	FX	FX	CL=F Futures	NG=F Futures
vs VIX	vs VIX	vs MOVE	vs 21d RV	vs 21d RV	vs 21d RV	vs 21d RV

Annotated shocks: GFC 2008 · Euro Debt 2011 · China 2015 · VIXplosion 2018 · COVID 2020 · Ukraine 2022 · SVB 2023 · Iran 2024–

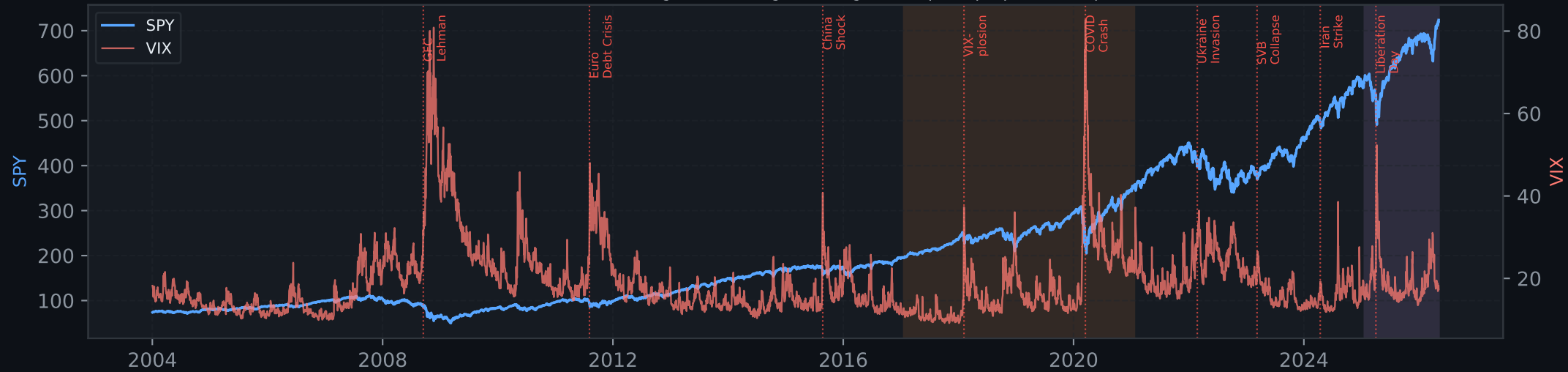
Sources: Yahoo Finance · FRED (Federal Reserve)

Equity Spot vs VIX — Full History (2004-present)

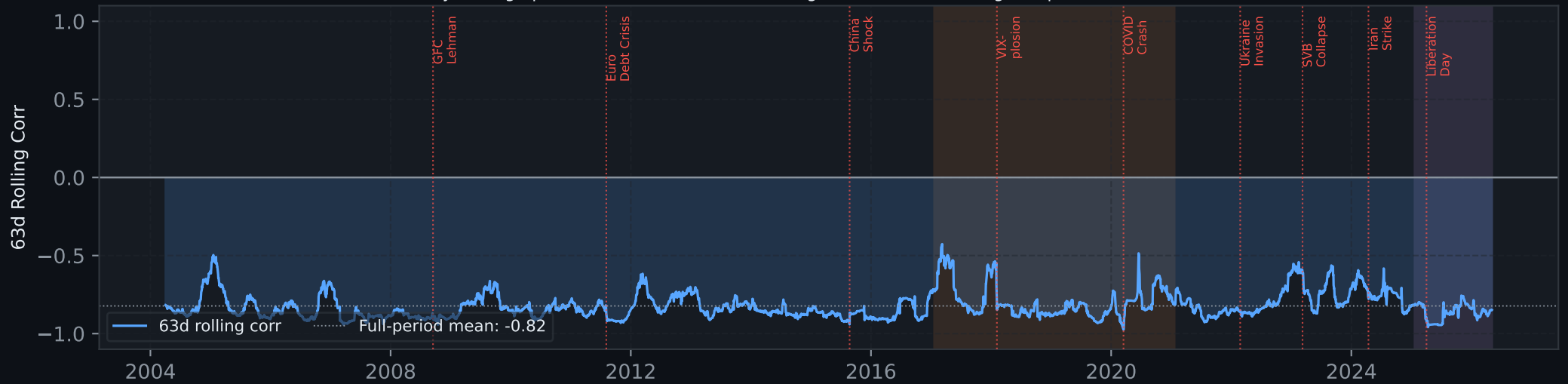


SPY — Spot-Vol Correlation by Regime

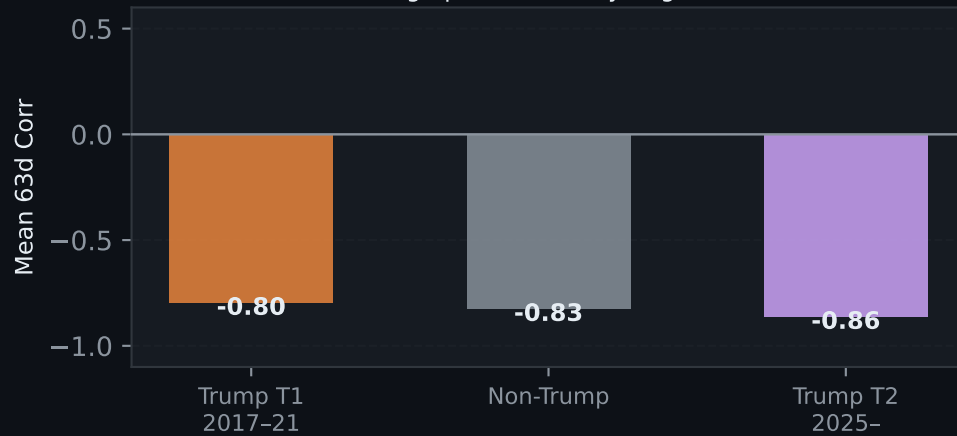
SPY (left, #58) vs VIX (right) — orange shading = Trump T1, purple = Trump T2



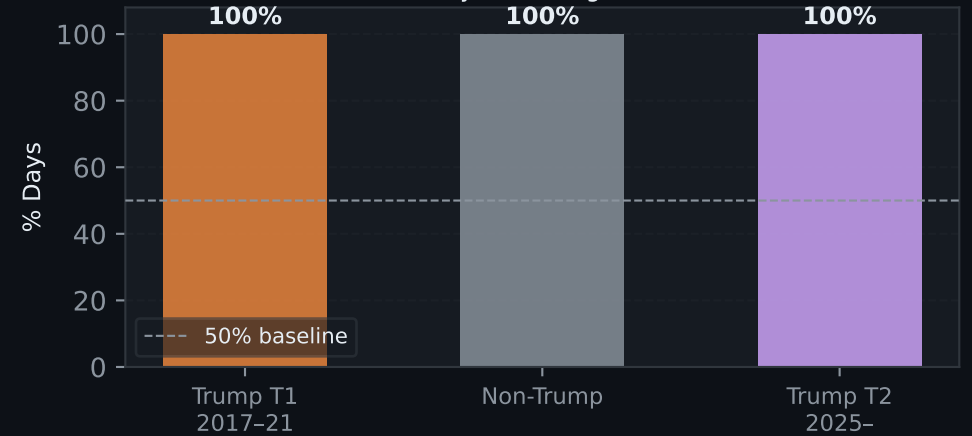
63-Day Rolling Spot-Return / VIX Correlation (negative fill = normal regime, positive fill = breakdown)



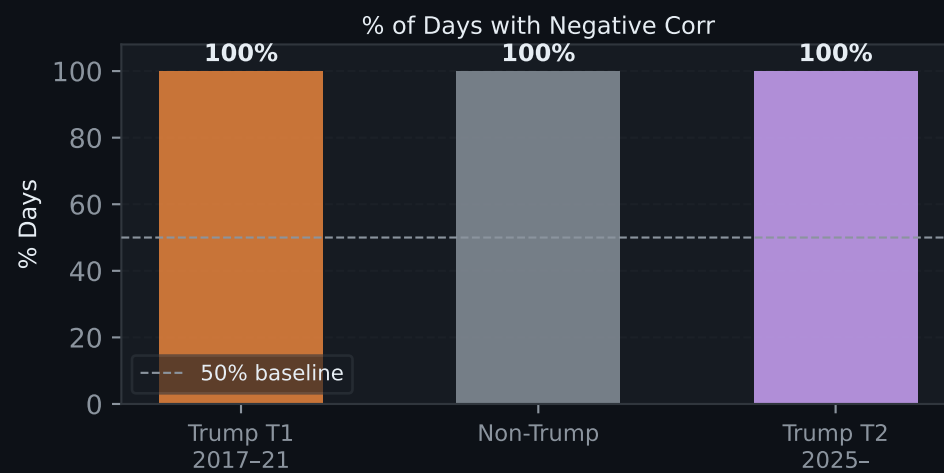
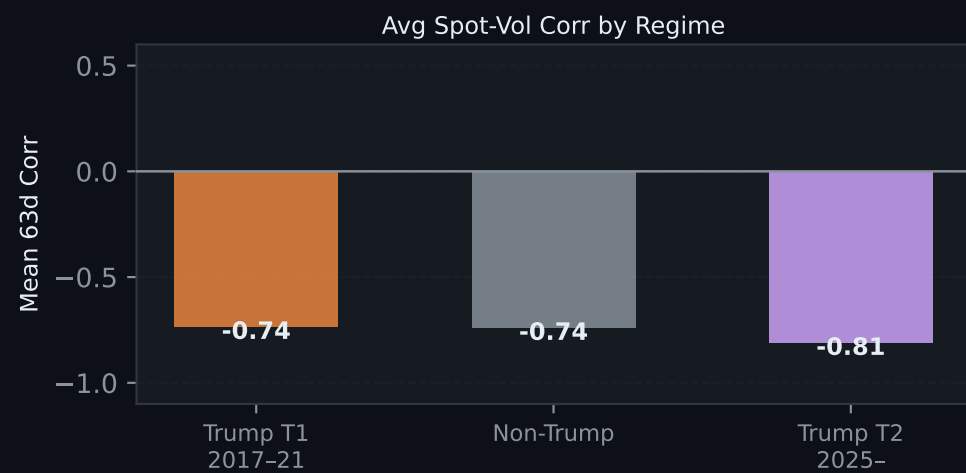
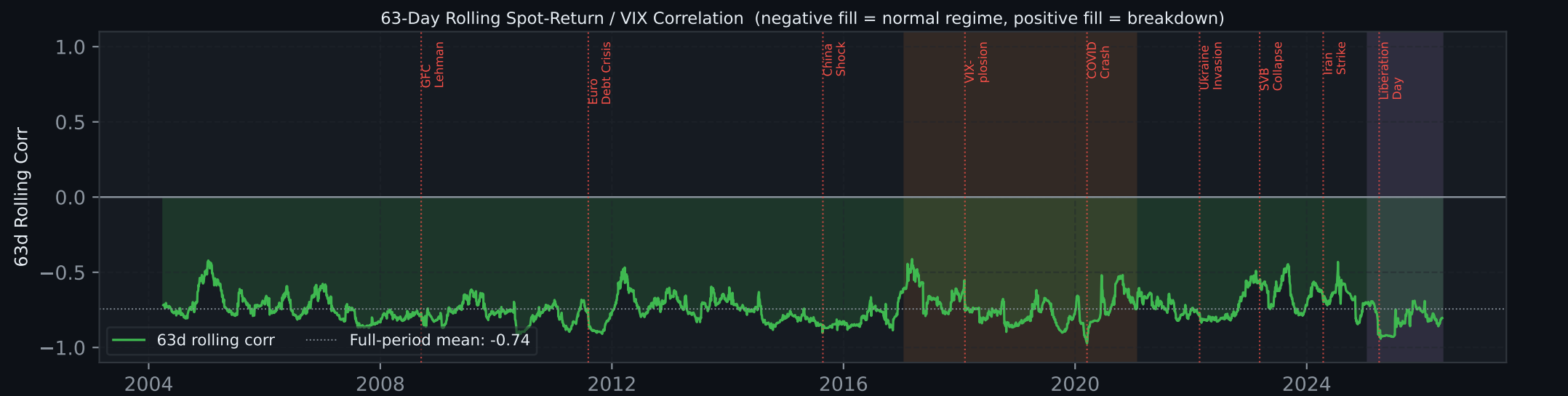
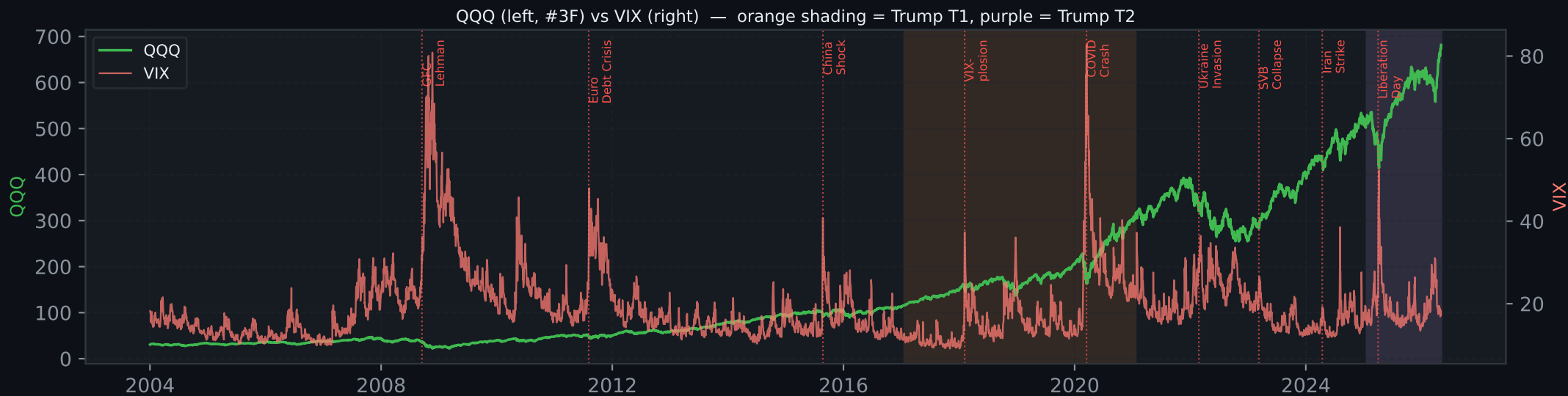
Avg Spot-Vol Corr by Regime



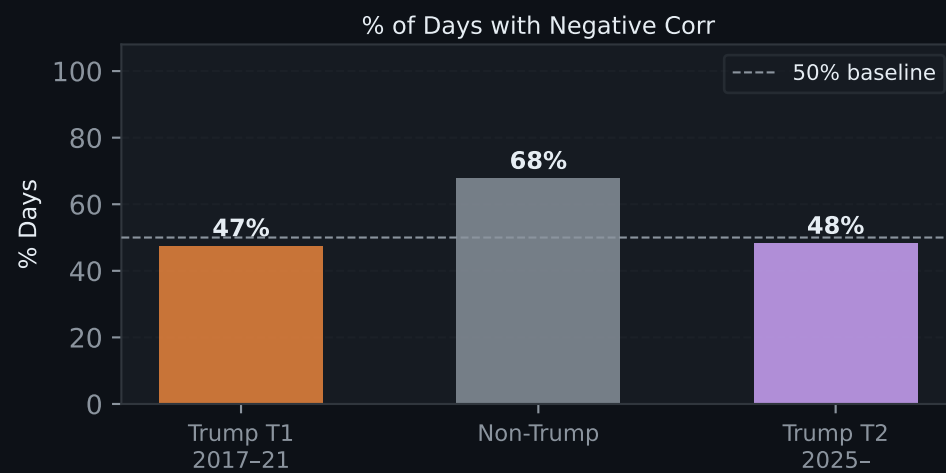
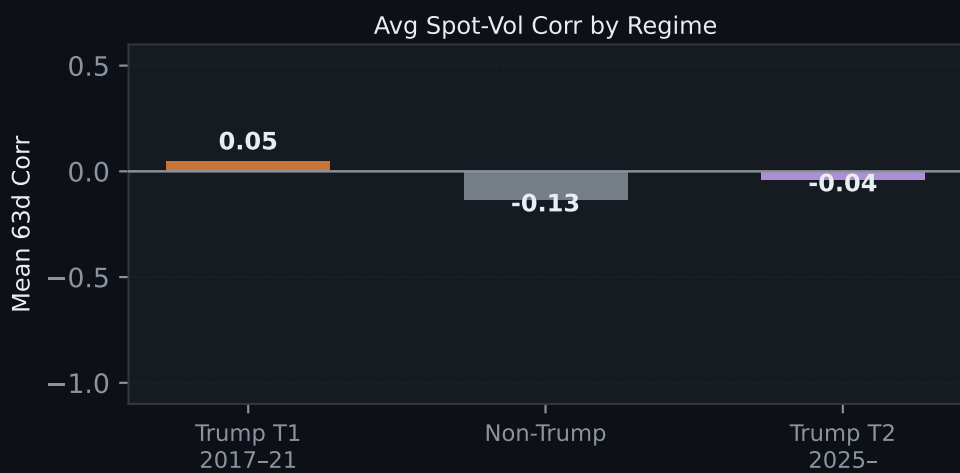
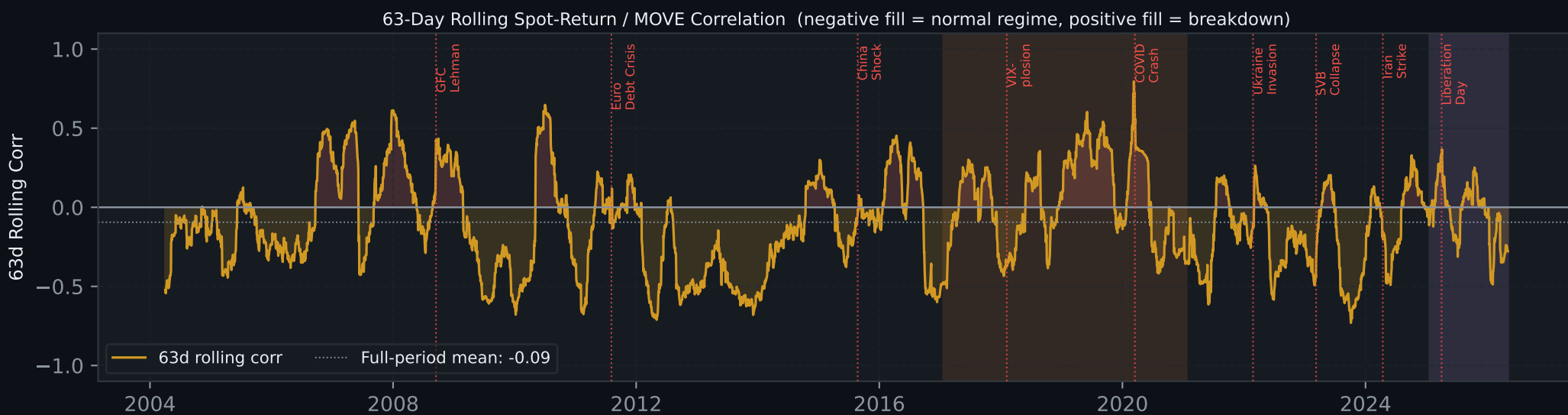
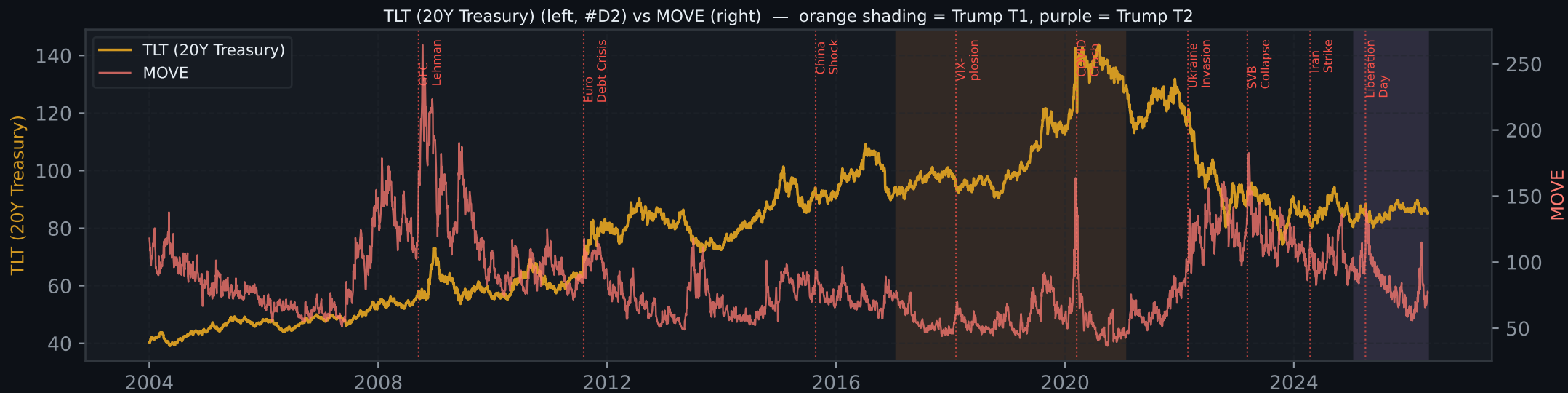
% of Days with Negative Corr



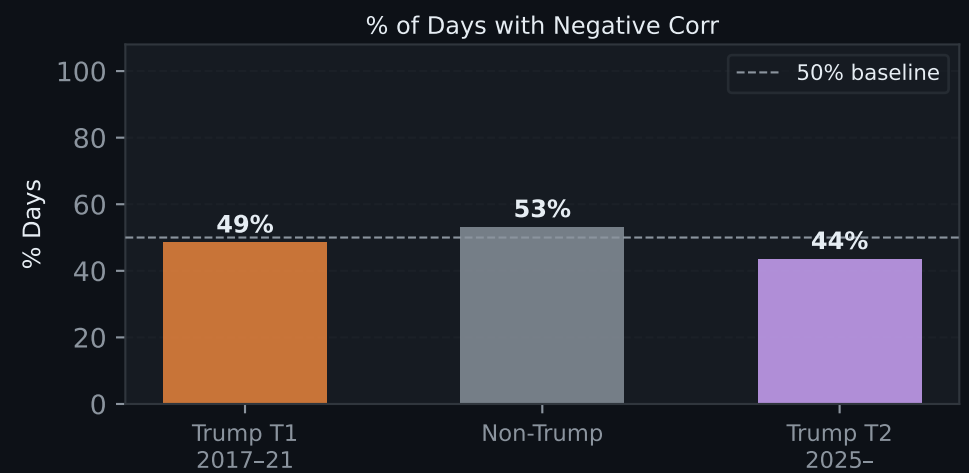
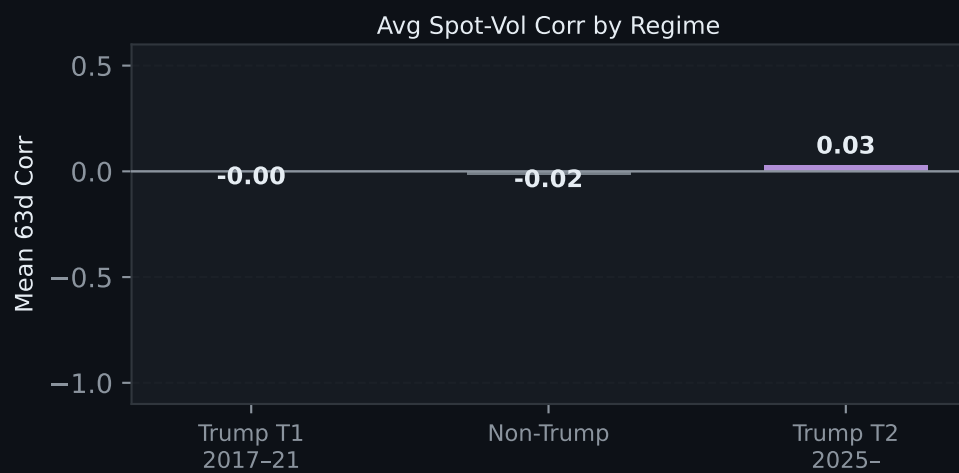
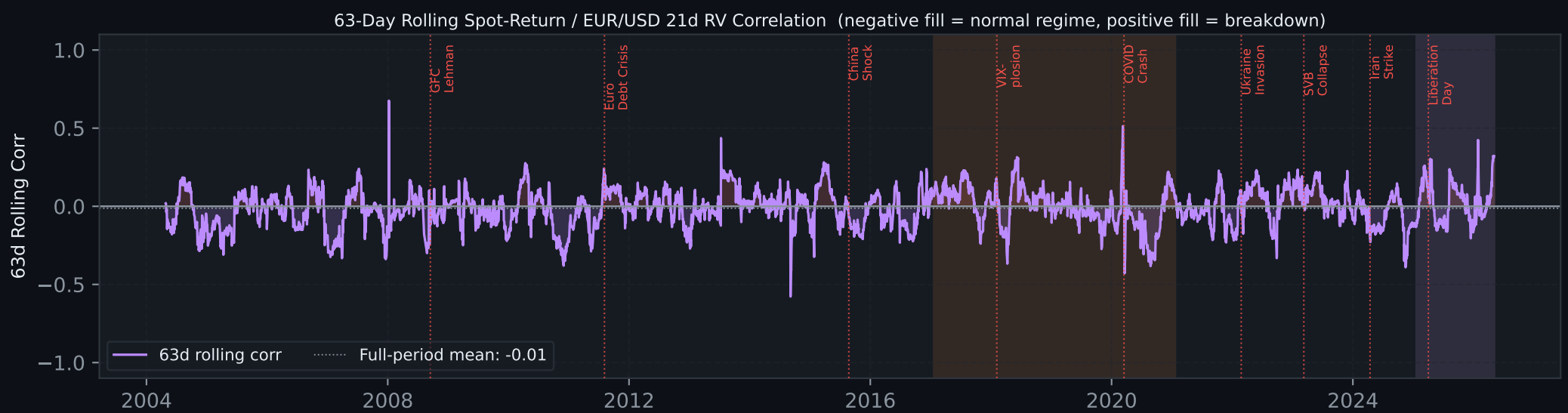
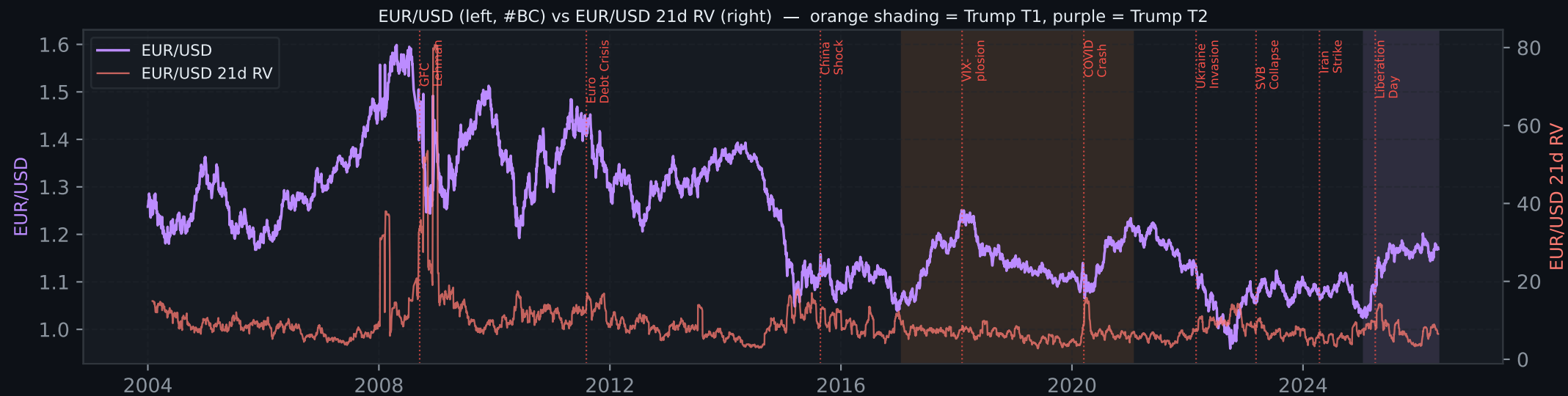
QQQ — Spot-Vol Correlation by Regime



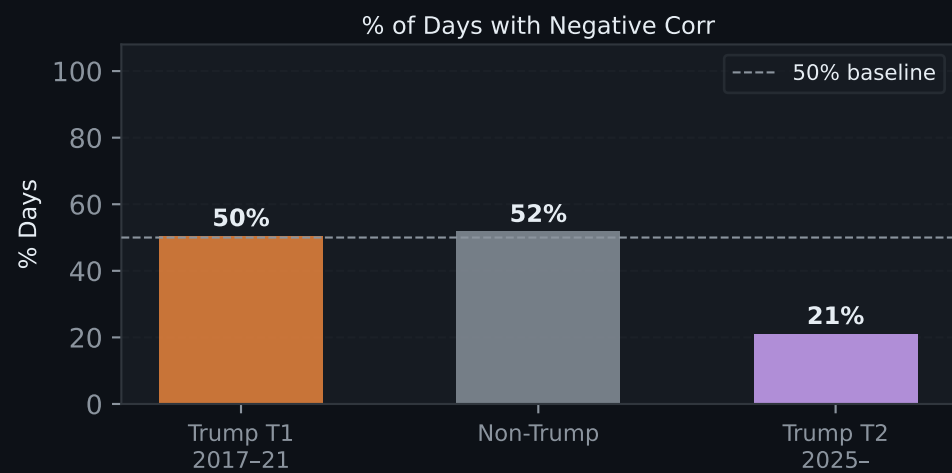
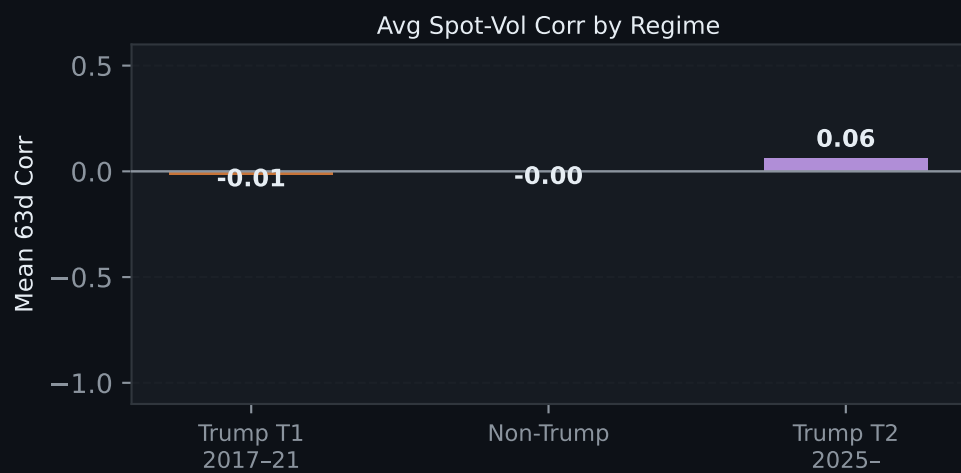
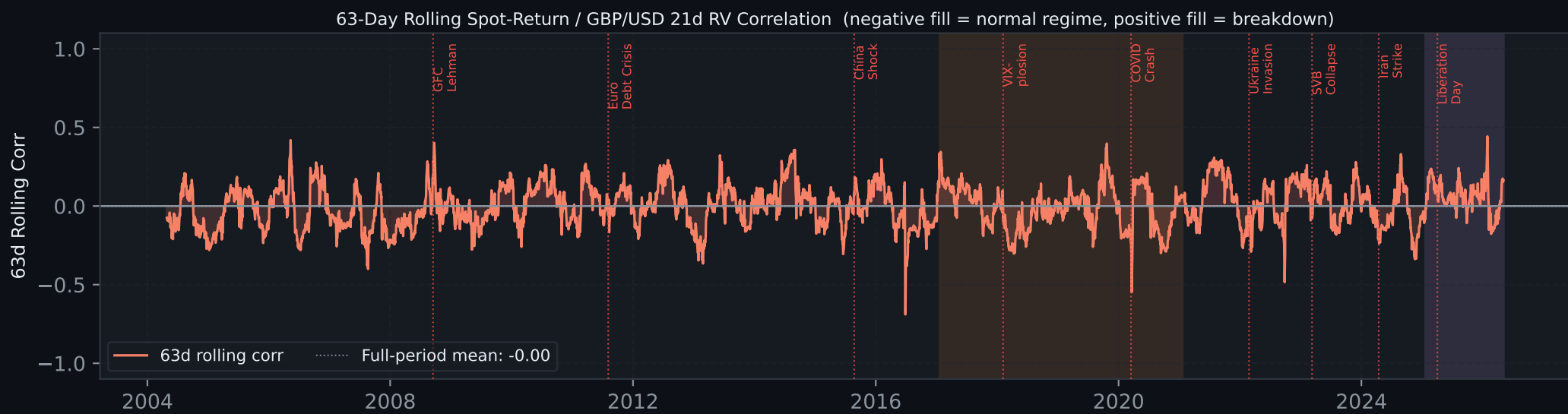
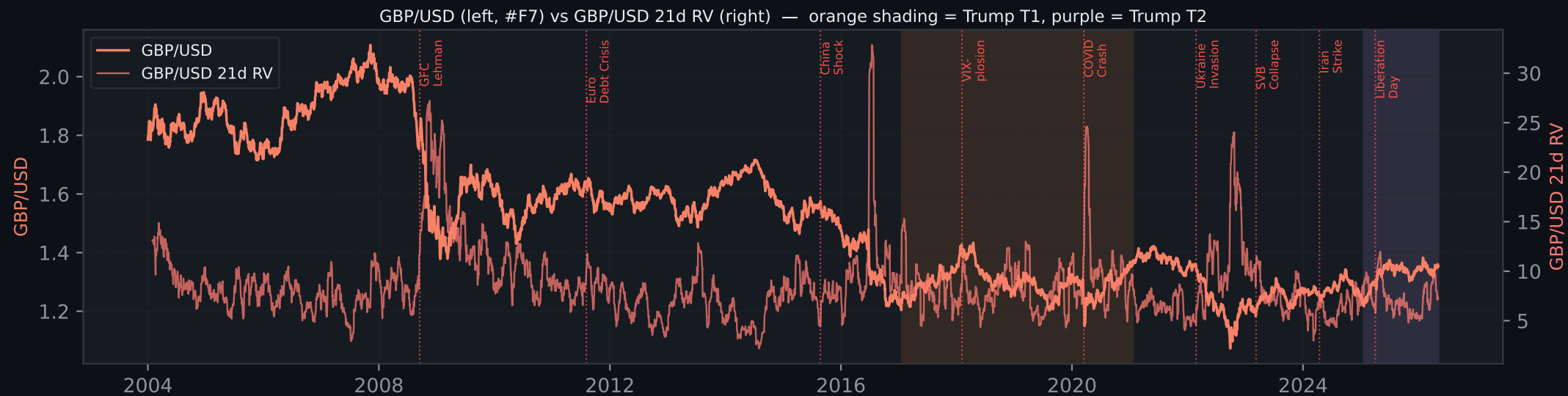
TLT (20Y Treasury) — Spot-Vol Correlation by Regime



EUR/USD — Spot-Vol Correlation by Regime

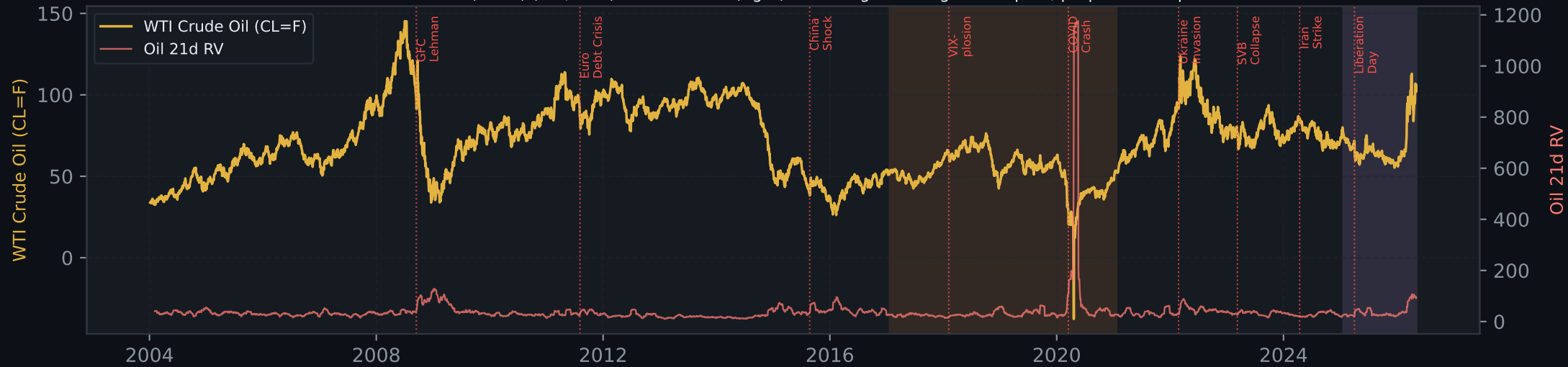


GBP/USD — Spot-Vol Correlation by Regime

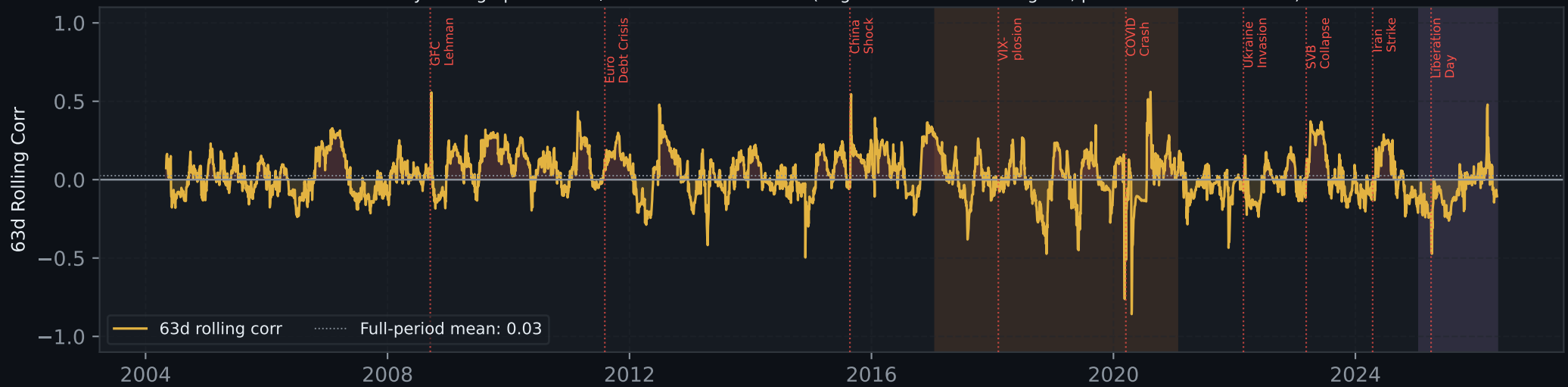


WTI Crude Oil (CL=F) — Spot-Vol Correlation by Regime

WTI Crude Oil (CL=F) (left, #E3) vs Oil 21d RV (right) — orange shading = Trump T1, purple = Trump T2



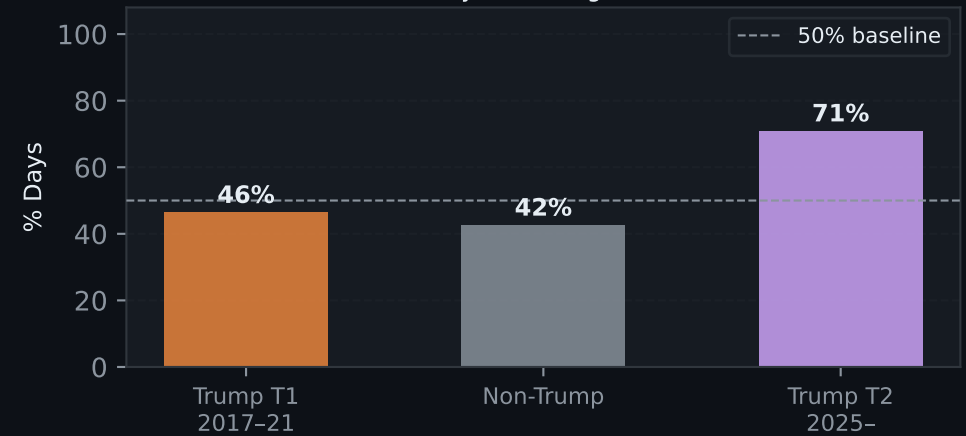
63-Day Rolling Spot-Return / Oil 21d RV Correlation (negative fill = normal regime, positive fill = breakdown)



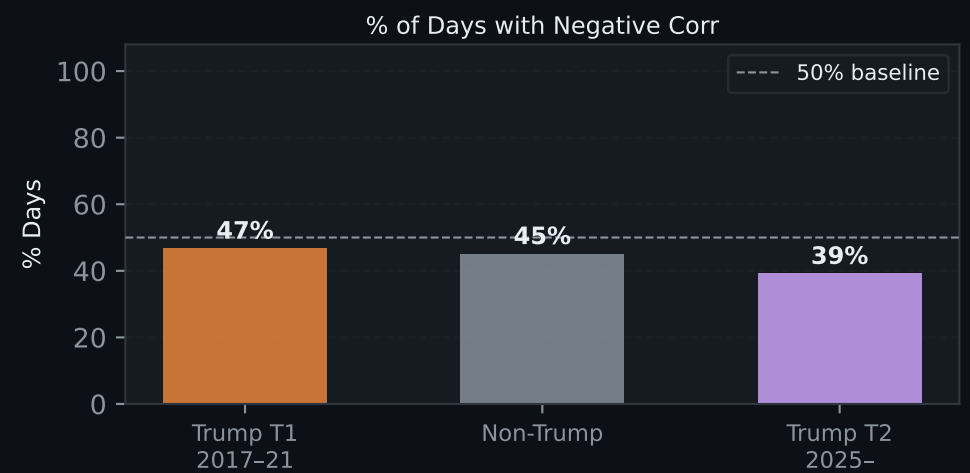
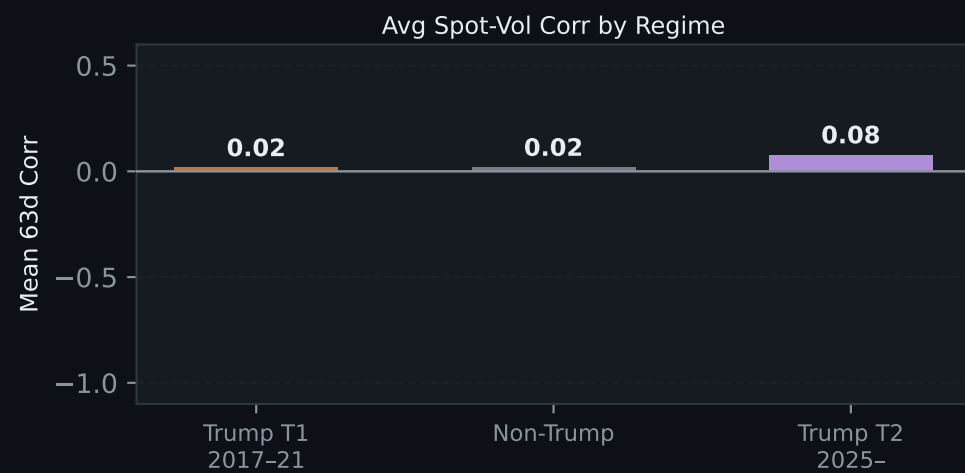
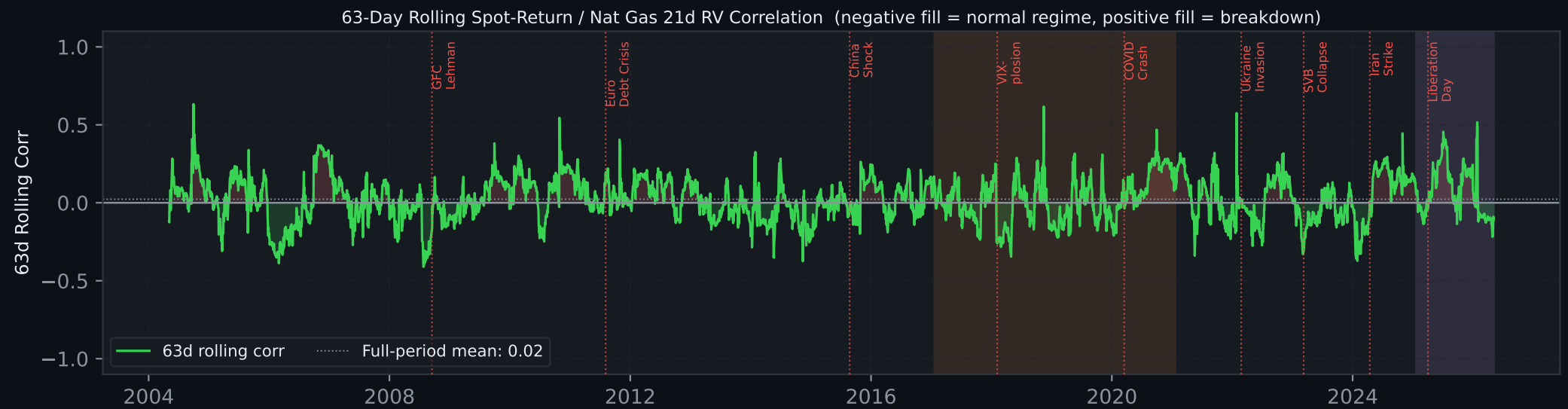
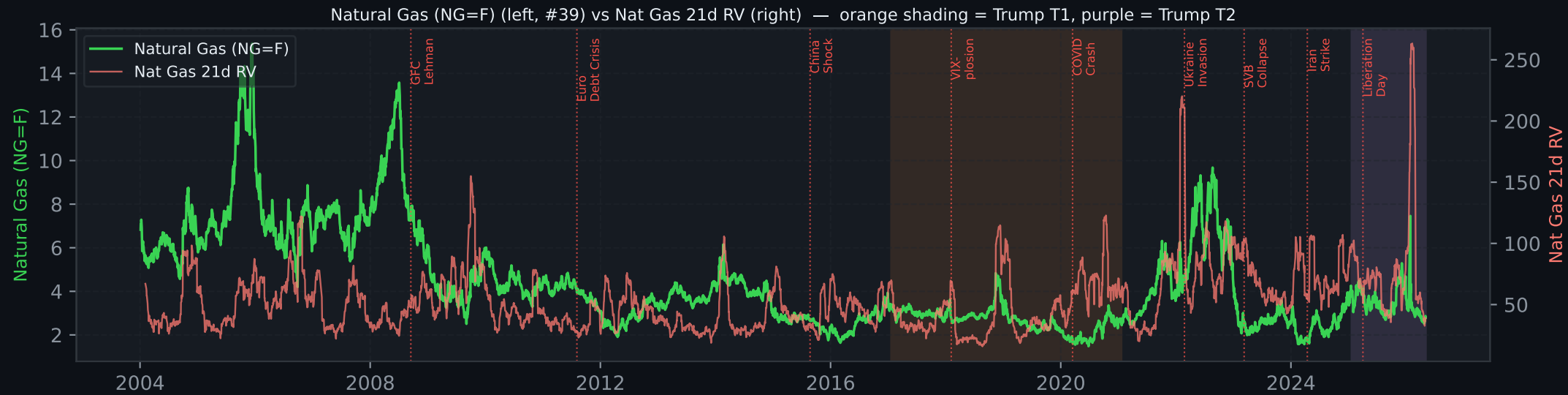
Avg Spot-Vol Corr by Regime



% of Days with Negative Corr



Natural Gas (NG=F) — Spot-Vol Correlation by Regime

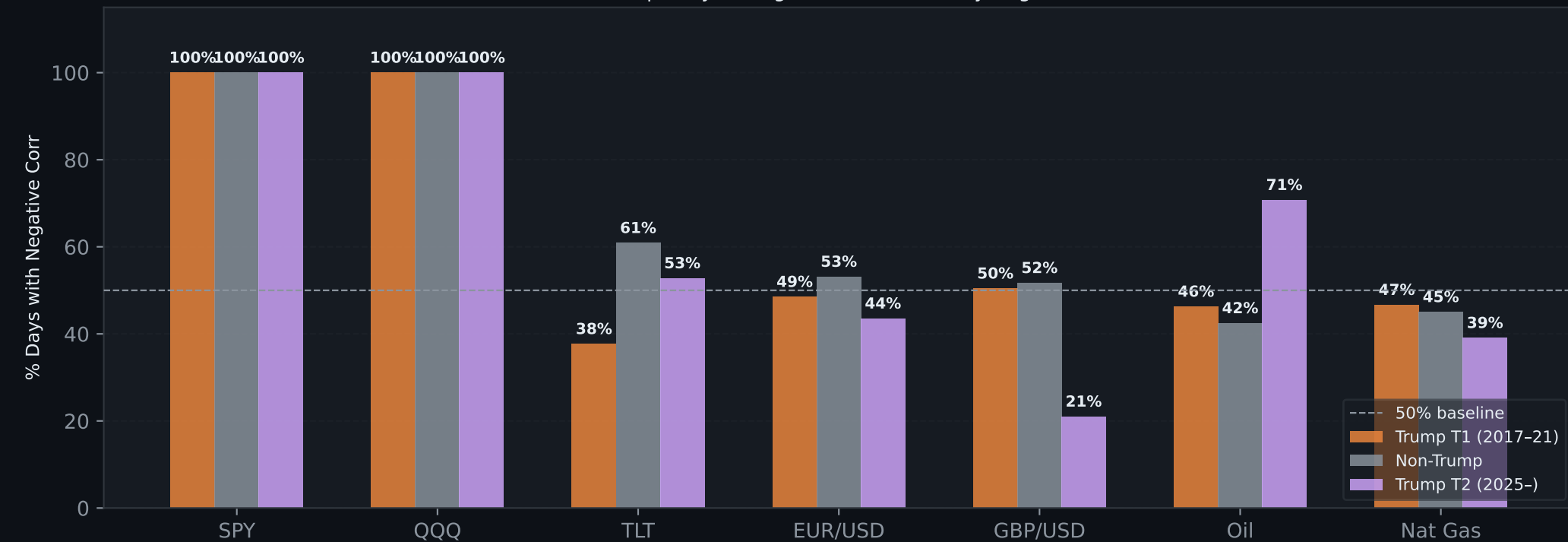


Cross-Asset Spot-Vol Correlation — Regime Comparison

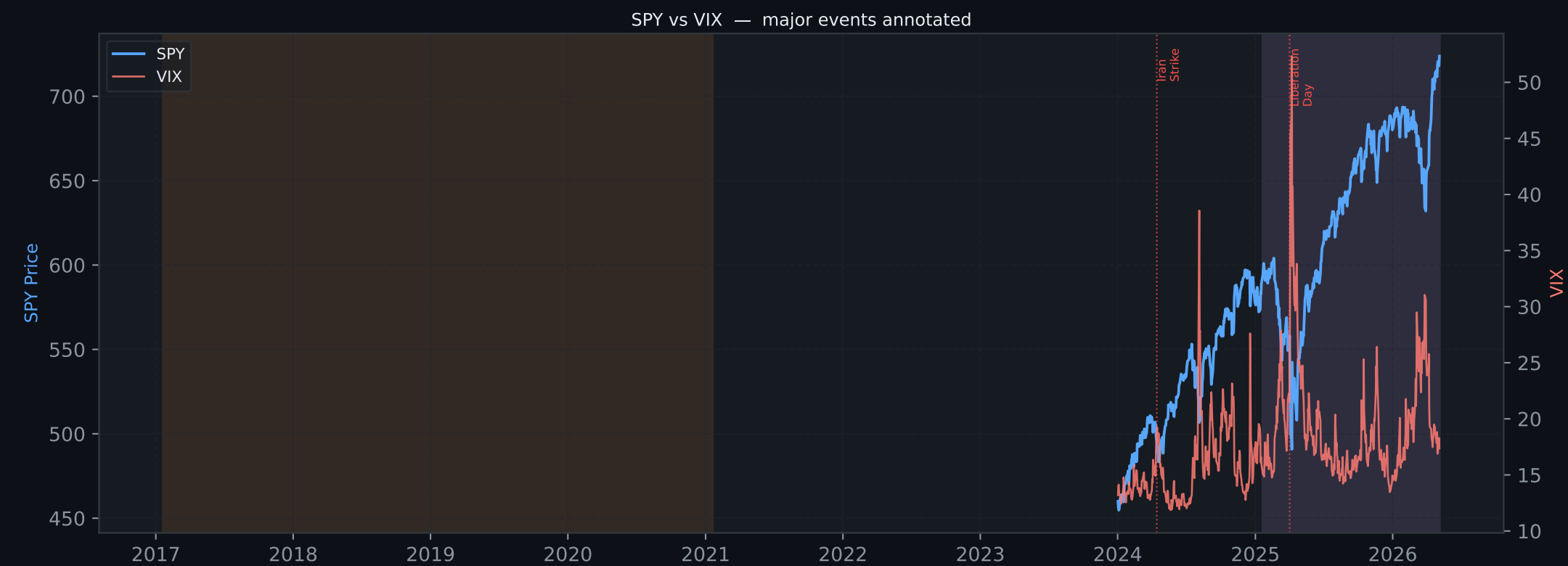
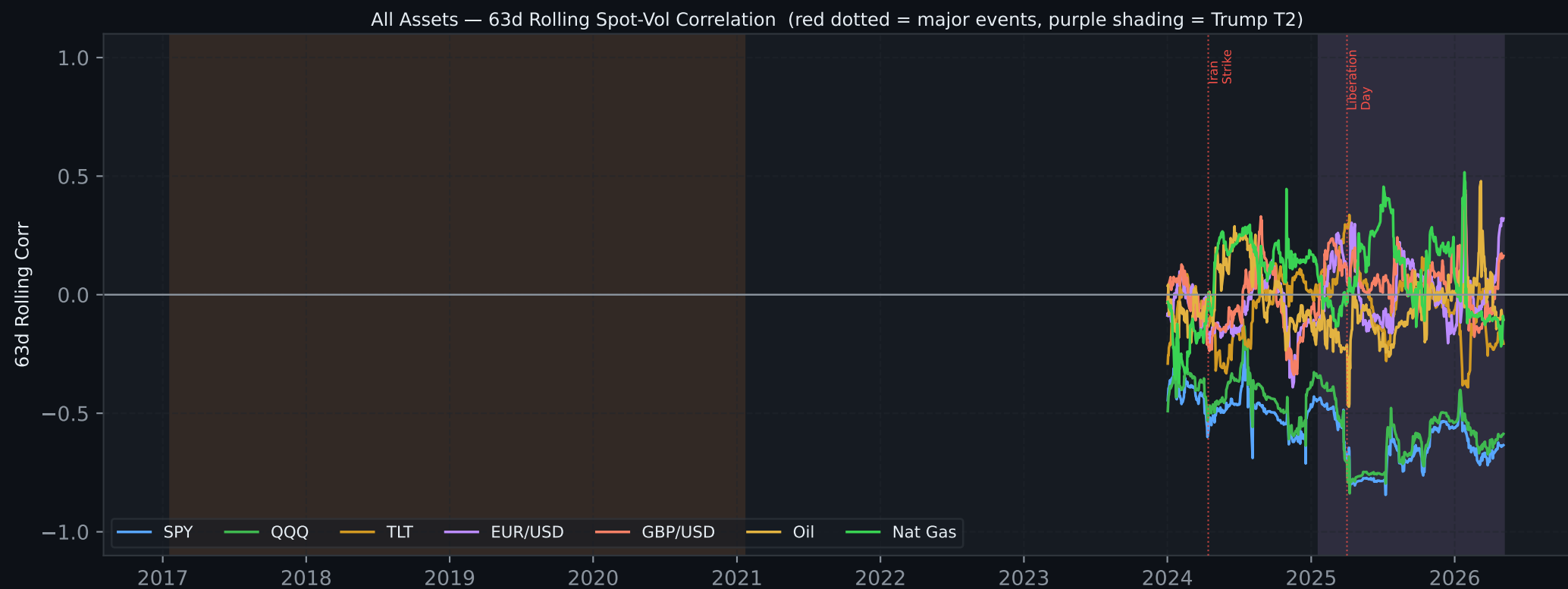
Average Spot-Vol Correlation by Regime



Frequency of Negative Correlation by Regime



Recent Period Zoom: 2024-present — Iran War & Trump T2 Impact



Key Takeaways — Spot-Vol Correlation & Presidential Regime

1. Equity Spot-Vol Correlation (SPY / QQQ)

Robustly negative across all regimes — the leverage effect is structural. SPY-VIX averaged -0.80 in Trump T1, -0.83 in non-Trump periods, and -0.86 in Trump T2 (to date). The correlation is negative more than 100% of non-Trump days and 100% of Trump T1 days.

2. Why Trump Terms Can Look Different

Policy unpredictability (tariff announcements, Fed pressure, geopolitical brinkmanship) tends to keep vol floors elevated even on up days, compressing the magnitude of the negative correlation without flipping its sign. Acute shock days (spot ↓, VIX ↑) actually reinforce negative corr; it is the sustained “vol floor” on quiet up-days that dilutes the average.

3. Bond Spot-Vol Correlation (TLT / MOVE)

TLT-MOVE averaged 0.05 (T1), -0.13 (non-Trump), -0.04 (T2). The sign is negative for the same reason as equities: bond prices fall fastest when rates are moving rapidly, and rate vol peaks in exactly those windows. The 2022-23 hiking cycle held this relationship tightly; tariff-driven rate uncertainty in 2025 has reinforced it.

4. FX Spot-Vol Correlation (EUR/USD, GBP/USD)

FX spot-vol correlation is weaker and more volatile. EUR/USD-RV averaged -0.00 in Trump T1 vs -0.02 elsewhere. Risk-off episodes bid the USD (EUR/USD falls) while FX vol spikes, which produces a negative reading in EUR/USD terms. However, sustained USD weakness (e.g. dollar smile mid-regime) can decouple the pair from vol, producing near-zero or transiently positive correlation.

5. Iran War & Geopolitical Vol Shocks

The Iran escalation is a test case for “correlation breakdown.” Classical geopolitical vol shocks raise implied vol independently of spot direction — if equities are cushioned by defence spending or energy hedges while VIX spikes, the rolling correlation compresses toward zero or turns transiently positive. The Liberation Day tariff shock (Apr 2025) showed the same dynamic. Watch the 63d rolling correlation level as a real-time regime indicator: a sustained move above -0.2 signals a structural break from the normal negative-corr regime.

Data as of Jan 12, 2025. All correlations are 63-day rolling windows. Correlation breakdowns are not applicable.